

EFTA AGREEMENT

The Gateway to Europe

By M.G. Arun

On March 10, India signed a trade pact with the four-nation European Free Trade Association (EFTA), an intergovernmental grouping of Switzerland, Norway, Iceland and Liechtenstein. As part of it, the countries have committed to invest $100 billion (over Rs 8 lakh crore) in India, which is expected to generate one million jobs in 15 years.

EFTA is an inter-governmental organisation set up in 1960 for the promotion of free trade and economic integration for the benefit of these four member countries outside the European Union. Piyush Goyal, Union minister of commerce and industry, food and consumer affairs and textiles, termed it a "modern and ambitious trade agreement". "For the first time, India is signing an FTA with four developed nations—an important economic bloc in Europe. For the first time in the history of FTAs, a binding commitment of $100 billion investment and one million direct jobs in the next 15 years has been given," he said. The agreement, which came after 15 years of negotiations, will give a boost to 'Make in India' and provide a window to Indian exporters to access large European and global markets, he added.

The deal is structured in such a way that, after 15 years, there will be a review. If there is a shortfall, EFTA would have to offset it in the next three years. After 20 years, if there is an investment shortfall, India can withdraw the tariff advantages it had offered, says Ajay Sahai, director general and CEO of the Federation of Indian Export Organisations.

The EFTA countries constitute just 1.6 per cent of India's trade at present. So, in that sense, they have never been India's major trading partners. In FY23, India's exports to the EFTA countries were worth $1.9 billion, while imports from those countries stood at $16.7 billion. Total trade thus stood at $18.6 billion, with India's trade deficit with EFTA countries at $14.8 billion. Switzerland is India's largest trading partner among the four countries, with a total trade of $17 billion, of which $15.8 billion was imports. Gold comprised the most imported commodity from Switzerland, and was worth $14 billion in 2022-23. The pact will open the doors to high-quality Swiss products such as watches, chocolates, biscuits and clocks at lower prices. Tariffs on cut and polished diamonds will be brought down from 5 per cent to 2.5 per cent in five years, but no effective tariff concession has been offered on gold.

On January 1, Switzerland reduced the tariff on all industrial products to zero, which means that it is not just India that will have an advantage in trade with that country. "Realising that we were not gaining much on the industrial goods sector from the EFTA deal, we tried to get the concessions on services and an investment commitment," says Sahai. On the services front, India has given concessions on accounting businesses and health services, he adds. In services exports, IT, business, personal, cultural, sporting and recreational services, other education and audio-visual services are expected to get a boost.

"Assuming that we are looking at a



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- **$100 bn (over Rs 8 lakh crore): Investment commitment to India in 15 years**
- **1 mn: Jobs to be generated**
- **$18.6 bn: India's total trade with EFTA countries in 2022-23, of which imports were $16.7 bn**
- **$15.8 bn: India's imports from Switzerland in 2022-23, of which gold was worth $14 bn**